

THRESHOLD ENTERPRISE SYSTEMS

Leave and Time-Off Policy

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1. Purpose, Guiding Principles, and Scope

Threshold Enterprise Systems recognizes that personal rest, health management, family commitments, and life transitions are vital to workforce well-being, sustained creativity, and long-term organizational success. The Leave and Time-Off Policy establishes a comprehensive, fair, and transparent framework governing all categories of time off across our global operating locations.

This policy applies to all regular full-time and eligible part-time employees of Threshold Enterprise Systems in India, the United States, the United Kingdom, and Singapore. The provisions defined herein represent our standardized global baseline. Where national, state, or municipal statutes provide greater leave entitlements or specific mandatory leave categories, local statutory provisions shall supplement or supersede this policy as documented in regional appendices.

Our guiding principle is to ensure equitable access to paid leave while maintaining operational continuity, high-quality client deliverables, and predictable workload distribution across teams.

2. Annual Paid Time-Off (PTO) and Vacation Entitlement

Full-time regular employees are entitled to twenty-five (25) business days of paid annual vacation leave per calendar year. Annual leave accrues progressively at the rate of 2.08 business days per completed month of active employment, commencing from the employee's initial date of joining.

Employees are encouraged to utilize their full annual leave allotment within the calendar year in which it is accrued to maintain health and work-life balance. To accommodate active project demands, employees may carry forward up to five (5) accrued, unused annual leave days into the subsequent calendar year. Carried-over leave must be fully utilized before March 31 of that following year, after which any remaining carried-over days will lapse without monetary compensation, unless prohibited by local labor regulations.

Annual leave scheduling must be planned proactively with people managers. For leaves exceeding three consecutive business days, employees must submit requests at least two weeks in advance. For leaves extending beyond ten consecutive business days, four weeks of advance notice is required to ensure cross-training and coverage.

3. Sick and Medical Leave Provisions

To support employees during periods of temporary personal illness, medical treatment, or injury, Threshold Enterprise Systems provides twelve (12) fully paid sick leave days per calendar year. Sick leave is allocated at the start of each calendar year for active employees and prorated for personnel joining mid-year.

Sick leave may also be utilized to attend preventative medical appointments, scheduled surgical procedures, dental emergencies, or to care for an immediate family member who requires medical assistance. Unused sick leave days do not carry over into subsequent calendar years and are non-compensable upon departure from the organization.

For sick leave absences exceeding three (3) consecutive business days, the employee is required to submit a formal medical practitioner's certificate or discharge summary to their HR Business Partner via the secure Workday portal upon returning to duty. Medical documentation is treated with strict confidentiality under our Employee Data Privacy Policy (HR-007).

4. Emergency, Compassionate, and Bereavement Leave

Threshold Enterprise Systems provides paid compassionate and emergency leave to support employees navigating acute personal distress, sudden familial emergencies, or bereavement. Employees are granted up to five (5) consecutive paid business days in the event of the death or life-threatening illness of an immediate family member (spouse, domestic partner, child, parent, sibling, or legal guardian).

For the loss of an extended family member (grandparent, grandchild, aunt, uncle, or parent-in-law), employees are granted up to three (3) consecutive paid business days. Additional unpaid emergency leave or conversion of accrued annual leave may be approved by the department manager and HR Manager if international travel is required.

Emergency leave for acute situations such as severe domestic disruptions, natural disasters, or property emergencies may be granted up to two (2) paid days per incident, subject to manager notification and HR endorsement.

5. Parental Leave and New Parent Support

We are dedicated to supporting working parents during the critical period following the birth, adoption, or foster placement of a child. Full-time employees who have completed at least six (6) months of continuous service are eligible for enterprise parental leave benefits.

Primary caregivers are entitled to sixteen (16) weeks of fully paid parental leave. This leave may be taken consecutively or in two structured blocks within the first twelve months following the child's birth or legal placement date. Secondary caregivers are entitled to six (6) weeks of fully paid parental leave, also usable within the first twelve months.

Parental leave benefits run concurrently with applicable statutory leaves (such as FMLA in the United States, Statutory Maternity/Paternity Leave in the UK, or Maternity/Paternity mandates in India and Singapore). Health insurance coverage, retirement contributions, and corporate benefits remain fully active during approved parental leave periods.

6. Public Holidays and Regional Office Observances

Threshold Enterprise Systems observes official public and national holidays established in each operating country. Because national calendars vary significantly between India, the United States, the United Kingdom, and Singapore, official corporate holiday calendars are published annually in November for the upcoming calendar year.

In addition to fixed statutory public holidays, employees are granted two (2) 'Floating Culture Days' per calendar year. These floating days allow individuals to observe cultural, religious, or personal holidays of personal significance that are not reflected in the regional statutory calendar.

Floating Culture Days must be coordinated with the direct people manager at least two weeks in advance and cannot be carried over into subsequent calendar years.

7. Leave Request Submission and Manager Approval Workflow

All planned and foreseeable leaves must be logged electronically through the Workday Enterprise HR Portal. Employees must indicate the leave category, starting date, returning date, and designated emergency backup coverage contact.

People Managers are required to review, evaluate, and action leave requests within three (3) business days of submission. When assessing requests, managers must consider project milestones, client deliverables, and team redundancy. Managers may not unreasonably withhold or deny leave requests, nor may they condition approval on out-of-band

demands.

If multiple team members request overlapping leave during high-demand business periods (such as year-end financial closing or critical platform software releases), the people manager must consult with the team to establish an equitable rotation schedule based on operational necessity and historical leave timing.

8. Unplanned Absence Reporting Protocol

When sudden illness, acute injury, or personal emergency prevents an employee from reporting to work as scheduled, prompt notification is essential to enable team workload rebalancing.

The employee (or an immediate family representative if the employee is incapacitated) must notify their direct manager via corporate messaging or telephone as early as practicable, and no later than two (2) hours following their scheduled start time. The notification must communicate the anticipated duration of the absence without requiring disclosure of private medical diagnoses.

Upon returning to work, the employee must formally log the absence in the Workday portal under the appropriate category (Sick Leave or Emergency Leave) within twenty-four hours.

9. Record Keeping, Accrual Reconciliation, and Payroll Synchronization

Human Resources maintains authoritative automated records of leave accruals, utilization, carryover balances, and statutory deductions through our centralized Workday Human Capital Management system. Accrual balances update on the final calendar day of each pay period.

Employees are responsible for reviewing their monthly leave balances displayed on their digital pay statements. In the event of an alleged discrepancy or payroll deduction query, the employee must notify the HR Operations Helpdesk within thirty days of the pay statement issuance date.

Upon separation of employment, accrued and unused annual leave is paid out in accordance with applicable local jurisdiction labor laws. Sick leave, floating holidays, and emergency leave balances possess no cash value and are not paid out upon departure.

10. Roles and Responsibilities

Employees are responsible for scheduling time off in advance, logging all absences accurately in Workday, arranging peer coverage for active tasks, and communicating urgent updates to managers.

People Managers are responsible for reviewing leave requests within the 3-day SLA, maintaining cross-training within their teams to accommodate planned time off, respecting employee disconnection during approved leave, and monitoring team leave utilization to prevent burnout.

HR Managers and HR Business Partners are responsible for auditing regional compliance, assisting with complex medical leave cases, verifying documentation, adjudicating escalated leave grievances, and overseeing payroll synchronization.

Enterprise Payroll is responsible for accurate balance adjustments, statutory leave compensation processing, and final settlement calculations.

11. Exceptions, Governance Escalation, and Policy Administration

Requests for unpaid leaves of absence, extended sabbaticals, or exceptional leave extensions exceeding standard limits must be submitted in writing to the direct Department Vice President and the Head of Human Resources. Exceptional approvals require unanimous endorsement from both leaders.

Any dispute arising from the interpretation or enforcement of this policy may be escalated to the Director of Employee Relations for formal mediation and final binding determination.

This policy is subject to annual review by the Human Resources Department and Enterprise Governance Committee. Updates are published in the enterprise knowledge base and communicated across all organizational channels.